

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.

ANSWER TO VERIFIED COMPLAINT

Respondent COSCO SHIPPING LINES CO., LTD. (“CSL”) answers the Verified Complaint of MCS INDUSTRIES, INC. (“MCS”) as follows with reference to the paragraph numbers in the original Verified Complaint (“Complaint”).

First Affirmative Defense

Without waiving any defenses, CSL asserts that MCS’s Complaint fails to state a claim for which relief can be granted. At its core, the Complaint centers on MCS’s claim that CSL has breached the service contract between it and MCS. However, neither the facts pled in the Complaint nor the text of the contract itself support such a claim. The contract’s duration runs from January 1, 2021 through April 30, 2022, and CSL’s service commitment requires it to carry 500 MCS TEUs. There are no monthly or quarterly carriage requirements. To date, CSL has carried approximately 92 MCS TEUs; eight months remain as of the time of filing this answer to complete CSL’s service commitment requirement. Further, to the extent MCS asserts that CSL breached the service contract, the FMC clearly lacks subject matter jurisdiction under the Shipping Act, which prescribes that “the exclusive remedy for a breach of a service contract is an action in an appropriate court.”

The regulatory claims asserted by MCS against CSL are also bogus, in that MCS fails to plead factual allegations sufficient to establish a violation of any of the Shipping Act provisions

that it cites. For example, MCS's non-specific assertion that CSL discriminated against MCS in favor of other shippers in connection with its service contract lacks any alleged proof, and is absolutely false. Moreover, even if true, those allegations would fail to state a claim under the Shipping Act of 1984 as currently drafted, given the pro-market reforms adopted by Congress in the Ocean Shipping Reform Act of 1998. Further, while MCS relies upon 46 U.S.C. § 41104(a)(5) for its discrimination claim, that narrow provision adopted by Congress in the 1998 Act was intended against discrimination *clearly targeted at a specific locality*. No such localities have been identified by MCS in its Complaint, and no elements of such a claim have been pled.

Additionally, MCS's reliance on Section 10(d)(1) of the Shipping Act, 46 U.S.C. 41102(c), is also misplaced, and ignores recent FMC rulemaking activity that has narrowed the scope of that section to only those cases where a regulated entity has engaged in a practice or regulation on a *normal, customary, and continuous basis* (as opposed to a particularly disputed contract or transaction) where such practice or regulation is unjust or unreasonable.

Moreover, MCS's allegations that CSL colluded with other carriers to drive up freight rates, that it created artificial scarcity, that it unjustly and unreasonably exploited customers, and that it refused to negotiate with MCS are completely and utterly false. The current congestion in the container freight marketplace and the challenges faced by vessel-operating carriers to keep up with demand for capacity were triggered by unprecedented and unanticipated record growth in U.S. imports, coupled with shoreside COVID restrictions. These unforeseen global trade shifts have compounded sailing delays and stretched to the limit every part of the inland intermodal supply chain. CSL has not colluded with any other carriers to drive up freight rates, nor has it created artificial scarcity. Rather, COSCO has been working intensively with shipper customers to provide the highest levels of service quality and quantity under extraordinary circumstances.

With regard to the Complainant in this proceeding, CSL engaged with MCS in the fall of 2020 and reopened negotiations of the existing service contract between the parties to increase the number of containers to be carried from Qingdao to the United States, and increased the contract's duration for the 2021-2022 container-carrying season, despite MCS' poor track record of contract performance in past years.

Lastly, MCS's assertion that CSL has *"has grossly flouted its contractual service commitment, providing MCS only small fractions of the space required under the Service Contracts—specifically ... an infinitesimal 1.6% by COSCO"* is simply a falsehood. It is clear that this eye-catching claim about service in the May-July 2021 period – which was repeated twice in MCS's Complaint, attested to under penalty of perjury by MCS, and repeated in multiple media accounts – is a false statement of material fact to the tribunal. As the actual records will show, MCS did not confirm any bookings with CSL during the month of June 2021 at any origination ports customarily used by MCS to present its containers to CSL for carriage, and even failed to utilize all space offered and confirmed to MCS in July 2021.

Answers to Complainant's Allegations

1. Complaint paragraph 1 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, CSL denies the allegations of this paragraph, including that reparations are due.

2. CSL denies the allegations in Complaint paragraph 2. Contrary to MCS's false allegations, CSL has not "unjustly and unreasonably exploited customers" during the pandemic. Quite to the contrary, CSL has done its level best to provide as much cargo-carrying capacity as it possesses to meet the extraordinary demand created by the U.S. import market, the same market in which MCS participates.

3. CSL denies the allegations in Complaint paragraph 3.

4. CSL denies the allegations in Complaint paragraph 4. Contrary to MCS's false allegations, CSL did not deprive shippers of capacity, and did not create any artificial scarcity. To the contrary, as trade has surged during the period addressed by the Complaint, CSL has supplied as much container-carrying capacity as it could to meet the extraordinary demand for consumer goods and other trans-Pacific trade created by the pandemic.

5. CSL denies the allegations in Complaint paragraph 5.

6. CSL denies the allegations in Complaint paragraph 6. Contrary to MCS's false allegations, CSL did not refuse to negotiate or provide service contracts to MCS during the pandemic. CSL engaged in contract negotiations with MCS in the fall of 2020 and reopened negotiations of the existing service contract between the parties to increase the number of containers to be carried from Qingdao to the United States, and increased the contract's duration for the 2021-2022 container-carrying season. Complaint paragraph 6 alleges that CSL "refused to provide more than a fraction of the cargo capacity that MCS requested" and Complaint paragraph 17 alleges that during the period May through July 2021, CSL only provided 1.6% of the space required by MCS under the service contract. These allegations are false. MCS did not confirm any bookings with CSL during the month of June 2021 at origination ports where MCS customarily presented its containers to CSL for carriage, and failed to fully utilize all space offered and confirmed to MCS in July 2021. During the period January 1, 2021 through the date of filing this Answer, CSL has carried more than 90 MCS TEU.

7. CSL denies the allegations in Complaint paragraph 7. See also CSL paragraph 6 above, which is incorporated herein by reference.

8. CSL denies the allegations in Complaint paragraph 8. The service contract between CSL and MCS did not include any “agreed intervals” by which to transport a set number of containers. Instead, the service contract provided for the carriage of 500 MCS TEUs between the period of January 1, 2021 and April 30, 2022. CSL possesses no information or knowledge concerning the content of MSC’s service contract with MCS.

9. CSL admits the definition of Service Contracts in 46 U.S.C. § 40102(21), and the other statutory and regulatory cites in footnote 1 of paragraph 9, but otherwise possesses no information or knowledge concerning the content of MSC’s service contract with MCS. To the extent an answer is otherwise required, those allegations are denied.

10. CSL denies the allegations in Complaint paragraph 10. See also CSL paragraph 6 above, which is incorporated herein by reference.

11. CSL denies the allegations in Complaint paragraph 11. MCS has cited no evidence to support the allegations that MSC and CSL “have changed their practices in parallel and seemingly coordinated fashion, depriving MCS of its contractually agreed space allotments and instead selling their respective capacity, including space actually allotted to MCS under its Service Contracts, and then subsequently withdrawn, to the highest bidder on the spot market” No evidence was cited because no evidence exists to support these allegations.

12. CSL denies the allegations in Complaint paragraph 12. MCS has cited no evidence to support the allegations that MSC and CSL “have engaged, and are continuing to engage, in substantially similar conduct with respect to other shippers.” No evidence was cited because no evidence exists to support these allegations.

13. CSL denies the allegations in Complaint paragraph 13. MCS has cited no evidence to support the allegations that MSC and CSL “have unjustly and unreasonably obliterated the

previously stable and well-established structure of the global ocean freight industry.” No evidence was cited because no evidence exists to support these allegations.

14. CSL denies the allegations in Complaint paragraph 14 that it has contributed to “exorbitant spot market prices.” CSL also denies that it denied container space to MCS in favor of container spot market shippers, and that its profits in 2021 are solely related to the spot market. CSL “Positive Profit Alert Regarding Interim 2021 Interim Results” was based upon an evaluation of the China Containerized Freight Index (“CCFI”), which is a composite index encompassing both contractual and spot rates, and reflects China’s nationwide export container transport by the indices of individual routes. CSL achieved its interim 2021 profits as a result of the extraordinary demand created by the U.S. import market, and by increasing its shipping capacity, securing container supplies and enhancing service quality. CSL otherwise denies the remaining allegations in Complaint paragraph 14.

15. CSL denies the allegations in Complaint paragraph 15.

16. CSL denies the allegations in Complaint paragraph 16. CSL denies that the Ocean Alliance, of which it is a member, acts collusively at the expense of shippers. The Ocean Alliance has been approved to operate as a lawful organization in accordance with U.S. law.

17. CSL denies the allegations in Complaint paragraph 17. See also CSL paragraph 6 above, which is incorporated herein by reference. MCS has cited no evidence to support the allegations that MSC and CSL’s respective ocean alliances have acted collusively “to coordinate discriminatory practices such as those alleged herein” No evidence was cited because no evidence exists to support these allegations.

18. CSL denies the allegations in Complaint paragraph 18. MCS has cited no evidence to support the allegations that any alleged misconduct by CSL has occurred “on a normal,

customary, and continuous basis, and, as alleged herein, shows no sign of abating.” No evidence was cited because no evidence exists to support these allegations.

19. CSL admits the allegations in Complaint paragraph 19.

20. CSL admits the allegations in Complaint paragraph 20.

21. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 21. To the extent an answer is otherwise required, those allegations are denied.

22. CSL denies the allegations in Complaint paragraph 22.

23. CSL admits the allegations in the first sentence of Complaint paragraph 23 as they pertain to CSL but denies the remaining allegations in this paragraph.

24. CSL denies the allegations in Complaint paragraph 24. MCS’s reliance on Section 10(d)(1) of the Shipping Act, 46 U.S.C. 41102(c), is misplaced, and fails to plead any alleged facts that would establish that a regulated entity has engaged in a practice or regulation on a *normal, customary, and continuous basis* where such practice or regulation is unjust or unreasonable.

25. CSL denies the allegations in Complaint paragraph 25. MCS alleges that CSL’s actions are “not in accordance with the rules and practices contained in their service contracts with MCS, in violation of 46 U.S.C. Section 41104(a)(2).” MCS has cited to no provision of the service contract that CSL has violated. The service contract calls for CSL to carry 500 MCS TEUs between January 1, 2021 and April 30, 2022. CSL has carried more than 90 TEUs as of the date of this filing, and is not in breach of the service contract, which includes no obligation to deliver any set number of containers per week or month.

26. CSL denies the allegations in Complaint paragraph 26. While MCS relies upon 46 U.S.C. § 41104(a)(5) for its discrimination claim, that narrow provision adopted by Congress in

the 1998 Act was intended against discrimination *clearly targeted at a specific locality*. No such localities have been identified by MCS in its Complaint, and no alleged facts making out the elements of a § 41104(a)(5) claim have been pled.

27. CSL denies the allegations in Complaint paragraph 27. See also CSL paragraph 25 above, which is incorporated herein by reference. MCS has cited no evidence to support the allegations that CSL has “given undue and unreasonable preference and advantage to shippers other than MCS” No evidence was cited because no evidence exists to support these allegations.

28. CSL denies the allegations in Complaint paragraph 28. See also CSL paragraph 6 above, which is incorporated herein by reference.

29. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 29. To the extent an answer is otherwise required, those allegations are denied.

30. CSL denies the allegations in Complaint paragraph 30.

31. CSL denies the allegations in Complaint paragraph 31.

32. CSL denies the allegations in Complaint paragraph 32.

33. CSL admits the allegations in Complaint paragraph 33.

34. CSL admits the allegations in Complaint paragraph 34.

35. CSL denies the allegations in Complaint paragraph 35.

36. CSL denies the allegations in Complaint paragraph 36.

37. CSL denies the allegations in Complaint paragraph 37.

38. CSL denies the allegations in Complaint paragraph 38.

39. CSL denies the allegations in Complaint paragraph 39.

40. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 40. To the extent an answer is otherwise required, those allegations are denied.

41. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 41. To the extent an answer is otherwise required, those allegations are denied.

42. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 42. To the extent an answer is otherwise required, those allegations are denied.

43. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 43. To the extent an answer is otherwise required, those allegations are denied.

44. CSL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 44. To the extent an answer is otherwise required, those allegations are denied.

COMPLAINT COUNT I (46 U.S.C. § 41102(c))

45. CSL incorporates into this paragraph each of the foregoing paragraphs 1 through 44 as though set forth herein in response to Complaint paragraph 45.

46. CSL denies the allegations in Complaint paragraph 46.

COMPLAINT COUNT II (46 U.S.C. § 41104(a)(2))

47. CSL incorporates into this paragraph each of the foregoing paragraphs 1 through 46 as though set forth herein in response to Complaint paragraph 47.

48. CSL denies the allegations in Complaint paragraph 48.

COMPLAINT COUNT III (46 U.S.C. § 41104(a)(5))

49. CSL incorporates into this paragraph each of the foregoing paragraphs 1 through 48 as though set forth herein in response to Complaint paragraph 49.

50. CSL denies the allegations in Complaint paragraph 50.

COMPLAINT COUNT IV (46 U.S.C. § 41104(a)(9))

51. CSL incorporates into this paragraph each of the foregoing paragraphs 1 through 50 as though set forth herein in response to Complaint paragraph 51.

52. CSL denies the allegations in Complaint paragraph 52.

COMPLAINT COUNT V (46 U.S.C. § 41104(a)(10))

53. CSL incorporates into this paragraph each of the foregoing paragraphs 1 through 52 as though set forth herein in response to Complaint paragraph 53.

54. CSL denies the allegations in Complaint paragraph 54.

55. CSL denies the allegations in Complaint paragraph 55.

56. CSL denies the allegations in Complaint paragraph 56.

57. CSL denies the allegations in Complaint paragraph 57.

58. CSL denies any and all allegations in the Complaint's Payer for Relief.

AFFIRMATIVE DEFENSES

Second Affirmative Defense

Without waiving any other defenses, and for further answer, CSL denies that the Federal Maritime Commission possesses subject matter jurisdiction over this case. Complainant alleges a breach or breaches of its service contract with CSL. 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract is “an action in an appropriate court,” which, respectfully, this tribunal is not.

Third Affirmative Defense

Without waiving any other defenses, and for further answer, CSL asserts that the COVID 19 pandemic created severe supply-chain disruptions throughout the entire global maritime and land-based transportation infrastructure that no one could have foreseen, and concerning which the impact on ocean carriers, shippers, receivers and terminal operators could not have been predicted. CSL reacted to that impact in 2020 by contracting its capacity due to the severe contraction of demand for container transportation services, and as the global economy started to recover, CSL has made tremendous efforts to provide capacity to respond to overwhelming and extraordinary demand, driven primarily by the U.S. import market. CSL neither created last year’s precipitous decline nor this year’s dramatic increase in demand, but both have had a direct bearing on the available capacity CSL could bring to the market.

Based on the foregoing, Respondents CSL respectfully request that the Presiding Officer and the Commission dismiss the Complaint with prejudice, award attorney’s fees and costs to Respondents CSL, and enter any further relief as may be appropriate.

Respectfully submitted,



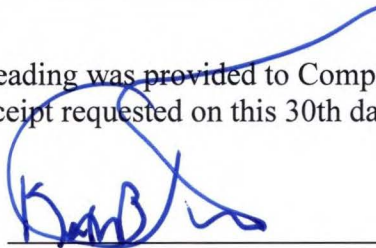
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LTD.**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email and certified mail, return receipt requested on this 30th day of August, 2021.



Keith B. Letourneau

VERIFICATION

I, [name of employee authorized to verify complaint] declare as follows:

1. I am the Deputy General Manager of Commercial Department for COSCO SHIPPING Lines (North America) Inc.

2. I am duly authorized to make this verification on behalf of COSCO SHIPPING Lines Co., Ltd.

3. I have read the contents of the answer of Respondent COSCO SHIPPING Lines Co., Ltd. in FMC Docket No. 21-05 attached hereto, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.

Signed: August 30, 2021.

DocuSigned by:

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James Houghtalin